

interquartile ranges bounding 75% of the returns. Each model's median 12-month return is the horizontal line that splits its box into different colors.

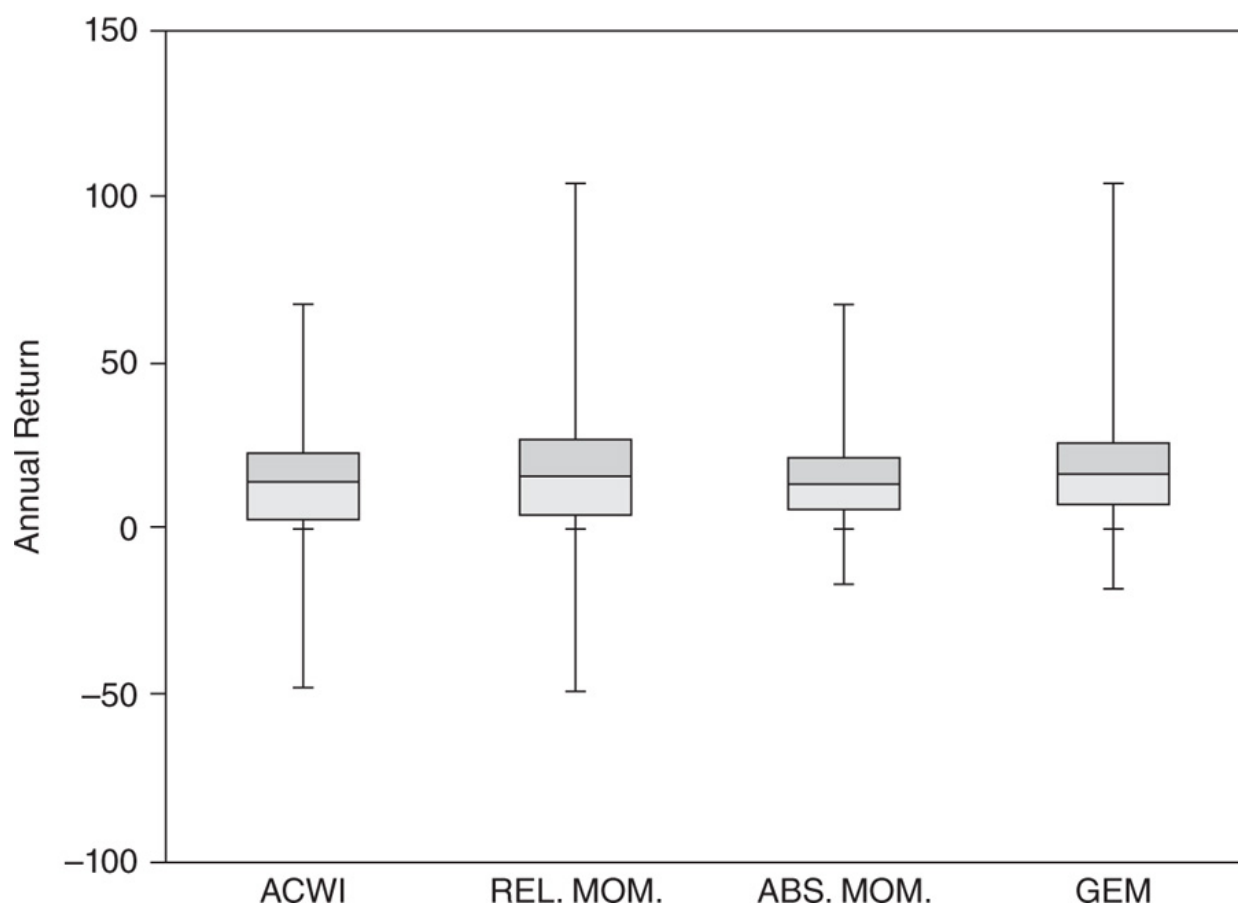


Figure 8.14 Box Plot of Rolling 12-Month Returns, 1974–2013

FACTOR MODEL RESULTS

Using multiple regression factor models as described in [Chapter 3, Table 8.9](#) shows GEM returns regressed against the Fama-French-Carhart four-factor market, size, value, and momentum risk factors as per the Kenneth French website data library.⁸ Since the GEM model is in bonds around 30% of the time, we also show a five-factor model that adds the excess return of the Barclays Aggregate Bond index as an additional factor. In addition, we show a simple three-factor model using only stock market, bond market, and momentum risk factors.